No. 18-0918

In The

SUPREME COURT OF THE UNITED STATES

October Term 2018

IN RE BACKSTREET PLOWING, INC.,
Debtor,

STEVEN VIN SANT, CHAPTER 7 TRUSTEE,

Petitioners,

v.

MILTON WEINBERG,

Respondent.

ON WRIT OF CERTIORARI TO THE
UNITED STATES COURT OF APPEALS FOR
THE THIRTEENTH CIRCUIT

BRIEF FOR THE RESPONDENTS

Team R. 36
Counsel for the Respondents

ORAL ARGUMENT REQUESTED

QUESTIONS PRESENTED

I. Under 11 U.S.C. §362(a)(3) does a violation occur when a secured creditor passively retains possession of collateral that it lawfully repossessed from the debtor prior to the petition date?

II. Under 11 U.S.C. §503(b), is a creditor entitled to an administrative expense reimbursement for a substantial contribution when the creditor has met the requirements of the Bankruptcy Code in a chapter 7 proceeding?

TABLE OF CONTENTS

QUESTIONS PRESENTED i
TABLE OF CONTENTS ii
TABLE OF AUTHORITIES iii
OPINIONS BELOW v
STATEMENT OF JURISDICTION v
STATUTORY PROVISIONS v
STATEMENT OF THE CASE 1
SUMMARY OF THE ARGUMENT 5
ARGUMENT 7
I. A Secured Creditor passively retaining property that was lawfully repossessed prepetition is not in violation with section 362(a)(3), in addition section 542(a) is not a self-effectuating statute that requires immediate turnover. 7
A. Weinberg did not violate section 362(a)(3) because it only prohibits post-petition affirmative acts to exercise control over property of an estate. 8
B. Because section 542(a) is not self-effectuating Weinberg is not required to return the trucks until a turnover action is brought and adequate protection is provided. 11
C. Requiring Weinberg to turnover the snow plow trucks before seeking adequate protection will cause irreparable harm. 13
II. II. The Bankruptcy Code Section 503(b)(3)(D) is Not A Per Se Bar to Reimbursement of the Administrative Expenses under 503(b) in a Chapter 7 Proceeding, therefore Weinberg is entitled to a substantial contribution administrative expense under the statute. 15
A. The Sixth Circuit's Decision in *Connolly* is Correct Because it is More Consistent with the Intent of the Statute and Role of Courts when Ruling on Administrative Expenses. 17
B. The Canons of Statutory Interpretation Support the Notion that Chapter 7 Proceedings apply to §503(b)(3)(D). 19
C. The Plain Meaning and Congressional Intent Behind the Statute Proves that Administrative Expenses are Appropriate Reimbursement Claims in a Chapter 7 Proceeding. 22
CONCLUSION 24

TABLE OF AUTHORITIES

Page(s)

Supreme Court Cases

Barnhart v. Peabody Coal Co. 537 U.S. 149 (2003) 31
Citizens Bank of Md. v. Strumpf, 516 U.S. 16 (1995) 21
Hibbs v. Winn 542 U.S. 88 (2004) 29
Local Loan Co. v. Hunt 292 U.S. 234 (1934) 31
Marx v. Gen. Revenue Corp. 568 U.S. 371 (2013) 16
United States v. Vonn 535 U.S. 55 (2002) 31
United States v. Whiting Pools, Inc. 462 U.S. 198 (1983) 15, 19
Walters v. Metro. Educ. Enters., Inc. 519 U.S. 202 (1997) 14

Federal Cases

589 B.R. 887 (Bankr. W.D. Wash. 2018) 28, 29, 31
Al Copeland Enters. 991 F.2d 233 (5th Cir. 1993) 23
Arangure v. Whitaker 911 F.3d 333 (6th Cir. 2018) 23, 24
Denby-Peterson v. Nu2u Auto World, No. 17-9985 (NLH) 2018 U.S. Dist. LEXIS 187686 (D.N.J. Nov. 1, 2018) *15, 19*
Hartford Underwriters Ins. Co. v. Union Planters Bank, Nat'l Ass'n 530 U.S. 1 (2000) 16, 19
In re Bernstein 252 B.R. 846 (Bankr. D.D.C. 2000) 15, 20, 21
In re Connolly N. Am. 376 B.R. 161 (Bankr. E.D. Mich. 2007) 25
In re Del Mission 98 F.3d 1147 (9th Cir. 1996) 17
In re Hackney 351 B.R. 179 (Bankr. N.D. Ala. 2006) 23, 30, 31
In re Hall 502 B.R. 650, (Bankr. D.D.C. 2014) 14, 15, 17, 18, 20, 21
In re Mid Region Petroleum 1 F.3d 1130 (10th Cir. 1993) 22
Mediofactoring v. McDermott (In re Connolly N. Am., LLC) 802 F.3d 810 (6th Cir. 2015) 24, 25, ... 26, 31
Mosier v. Kuptez (In re United Educ. & Software) 2005 WL 6960237 (B.A.P. 9th Cir. Oct. 7, 2005) 23, 28
Pergament v. Maghazeh Family Trust (In re Maghazeh) 315 B.R. 650 (Bankr. E.D.N.Y. 2004) 23
RadLAX Gateway Hotel, LLC v. Amalgamated Bank 182 L. Ed. 2d 967 (2012) 25
Suplee v. Bethlehem Steel Corp. (In re Bethlehem Steel Corp.) 479 F.3d 167 (2d Cir. 2007) 30
Thompson v. GMAC, LLC 566 F.3d 699 (7th Cir. 2009) 17
United States v. Fuller 86 F.3d 105 (7th Cir. 1996) 26
United States v. Inslaw, Inc. 932 F.2d 1467 (D.C. Cir. 1991) 18
United States v. Ledlin (In re Mark Anthony Constr., Inc.) 886 F.2d 1101 (9th Cir. 1989) 23
WD Equip., LLC v. Cowen (In re Cowen) 849 F.3d 943 (10th Cir. 2017) 15, 16, 17

Federal Statutes

11 U.S.C. §362(a)(3) 2, 3, 6, 7, 13, 14, 15, 16, 18, 19, 21, 22
11 U.S.C. §363(e) 7, 15, 19, 21
11 U.S.C. §503(b) 2, 6, 7, 12, 22, 23, 24, 25
11 U.S.C. §542(a) 7, 15, 18, 19, 20, 21, 22
11 U.S.C. §542(b) 7, 20

Other Authorities

Fixing Statutory Interpretation 129 Harv. L. Rev. 2118 (2016) 23

OPINIONS BELOW

The United States Bankruptcy Court for the District of Moot ruled in favor for Weinberg where the court was asked to review two disputes. In the first dispute the court was asked to determine whether a secured creditor violates the automatic stay set forth in section 362(a)(3) of the Bankruptcy Code by passively retaining possession of collateral that is lawfully repossessed from the debtor prior to the petition date. The second dispute the question presented was whether a court is permitted to grant an administrative expense to a party who makes a substantial contribution to the estate in a case under Chapter 7 of the Bankruptcy Code pursuant to section 503(b). The Bankruptcy Appellate Panel for the Thirteenth Circuit also answered both questions in favor of Weinberg concluding that (i) his retention of the snow plows did not violate 362(a)(3), and (ii) he was entitled to a substantial contribution administrative expense under section 503(b).

STATEMENT OF JURISDICTION

The formal statement of jurisdiction is waived pursuant to Competition Rule VIII.

STATUTORY PROVISIONS

11 U.S.C. §362(a)(3)

(a) Except as provided in subsection (b) of this section, a petition filed under section 301 , 302 , or 303 of this title, or an application filed under section 5(a)(3) of the Securities Investor Protection Act of 1970, operates as a stay, applicable to all entities, of--

> **(3**) any act to obtain possession of property of the estate or of property from the estate or to exercise control over property of the estate;

11 U.S.C. §363(e)

(e) Notwithstanding any other provision of this section, at any time, on request of an entity that has an interest in property used, sold, or leased, or proposed to be used, sold, or leased, by the trustee, the court, with or without a hearing, shall prohibit or condition such use, sale, or lease as is necessary to provide adequate protection of such interest. This subsection also applies to

property that is subject to any unexpired lease of personal property (to the exclusion of such property being subject to an order to grant relief from the stay under section 362)

11 U.S.C. §542(a)

(a) Except as provided in subsection (c) or (d) of this section, an entity, other than a custodian, in possession, custody, or control, during the case, of property that the trustee may use, sell, or lease under section 363 of this title, or that the debtor may exempt under section 522 of this title, shall deliver to the trustee, and account for, such property or the value of such property, unless such property is of inconsequential value or benefit to the estate.

11 U.S.C. §542(b)

(b) Except as provided in subsection (c) or (d) of this section, an entity that owes a debt that is property of the estate and that is matured, payable on demand, or payable on order, shall pay such debt to, or on the order of, the trustee, except to the extent that such debt may be offset under section 553 of this title against a claim against the debtor.

11 U.S.C. §503(b)(3)(D)

(b) After notice and a hearing, there shall be allowed, administrative expenses, other than claims allowed under section 502(f) of this title [11 USCS § 502(f)], including--

> **(3)** the actual, necessary expenses, other than compensation and reimbursement specified in paragraph (4) of this subsection, incurred by—
>
> > **(D)** a creditor, an indenture trustee, an equity security holder, or a committee representing creditors or equity security holders other than a committee appointed under section 1102 of this title [11 USCS § 1102], in making a substantial contribution in a case under chapter 9 or 11 of this title [11 USCS §§ 901 et seq. or 1101 et seq.]

STATEMENT OF THE CASE

The Debtor operated a snow plow business with a sole shareholder, Christopher "Big Man" Clemons ("Clemons"). (R. at 3). Clemons aspired to remain active in the competitive business against other snow plow companies. (R. at 3). To remain competitive Clemons would need to purchase newer snow plow trucks, that were more fuel-efficient. (R. at 3). The trucks Clemons currently were a substantial expense due to the costs of maintaining and repairing the them. (R. at 3). The newer trucks would help reduce the amount spent on maintaining and repairing as well as provide the opportunity to bid for larger plowing contracts. (R. at 3). Clemons sought to obtain a contract with the City of Badlands ("City"), which guaranteed one year of work with the option for the City to renew it. (R. at 4).

Clemons however, did not have the full amount to buy the newer trucks so he sought out a loan. (R. at 4). Clemons approached Weinberg ("Creditor") a friend through his bowling club about getting a loan for $450,000 to buy the new snow plow trucks for the Debtor's snow plow business. (R. at 4). Weinberg agreed to give the Debtor $450,000 for the new trucks. (R. at 4). In an effort to secure repayment of the loan from Weinberg the Debtor granted Weinberg a security interest in the trucks. (R. 4). Weinberg properly perfected a purchase money security interest in the plow trucks and holds a first priority lien on the trucks. (R. at 4 n. 3). Clemons also personally agreed the loan. (R. at 4). The terms of the promissory note required the Debtor to make monthly payments to Weinberg starting in December 2015, the Debtor agreed. (R. at 4). In August 2015 after receiving the loan from Weinberg, Clemons purchased the new trucks. (R. at 4).

After purchasing the new trucks, the Debtor and two other local competitors submitted bids for the plowing contract with the City. (R. at 4). The Debtor's bids were far more cost efficient for the City than the other two competitors bids. (R. at 4). Given the projected small profit margins,

several members of the city council questioned whether the Debtor would be able to fulfill is contractual duties. (R. at 4). Although the city council members were skeptical of the Debtor's abilities the Debtor was awarded the contract. (R. at 4). Around October 2015, Clemons and Weinberg had a disagreement and did not speak to each for some time. (R. at 4). Due to the unusually mild conditions of 2015-2016 winter the Debtor paid far less than expected for maintain and labor due to the lack of snow. (R. at 5). This was profitable for the Debtor because the contract paid a flat rate whether it snowed or not. (R. at 5). Although having a profitable winter Clemons did not pay Weinberg in December 2015. (R. at 5).

In February 2016 Weinberg began contacting Clemons regarding the payments, but his calls went unanswered. (R. at 5). Late February of 2016 Weinberg drove to the Debtor's facility where he was eventually forcibly removed from the premises. (R. at 5). In April 2016 after not receiving any payments from the Debtor, Weinberg filed a suit in the State of Moot Circuit Court. (R. at 5). In the same lawsuit Weinberg sued Clemons on his personal guarantee, jointly and severally. (R. at 5). In October 2016 Weinberg obtained a default judgment against both the Debtor and Clemons jointly and severally, for $450,000 plus interest and fees. (p. at 5). Weinberg did not immediately take action to collect his judgment. (p. at 5). In January 2017 Weinberg began efforts to collect on his judgment. (p. at 6). Weinberg hired a repossession company and the company successfully repossessed the trucks from the Debtor's parking lot in late January 2017. (p. at 6). The repo company put the plows in a warehouse owned by Weinberg where they remain today. (p. at 6).

Without the trucks the Debtor was unable to fulfill his contractional obligations with the City, who were threatening to cancel the contract and sue for damages. (R. at 6). On February 4, 2017 after running out of cash the Debtor filed for chapter 11 bankruptcy. (R. at 6). After filing a

chapter 11 the Debtor's attorneys sent a letter to Weinberg demanding the return of the snow trucks. (R. at 6). Weinberg refused and testified before the bankruptcy court that it was his understanding that the Debtor had to commence a turnover action so that Weinberg could ask for adequate protection of his interest. (R. at 6). However, instead of commencing a turnover action the Debtor filed a motion asking the court to determine that Weinberg's passive possession violated the automatic stay of section 362(a)(3).

The bankruptcy court found that Weinberg did not violate the stay and held that mere retention is not an "act to exercise control over property of the estate within the scope of section 362(a)(3). The Debtor appealed in March 2017, however shortly after Clemons concluded that the efforts to reorganize the Debtor would be futile due to contract with the City not be renewed and other reasons. (R. at 7). The Debtor voluntarily converted the chapter 11 to a chapter 7 case. (R. at 7). On April 13, 2017 a Trustee was appointed to administer the Debtor's bankruptcy and liquidate its property. (R. at 7). The Bankruptcy Appellate Panel stayed the pending appeal and allowed the Trustee to substitute for the Debtor and get caught up to speed. (R. at 7).

After the case converted to chapter 7, Weinberg decided to pursue collection efforts against Clemons on the judgment related to his personal guarantee. (R. at 7). Weinberg hired a collection law firm, who took a creditors examination of Clemons in May 2017. (R. at 7). The examination discovered that beginning in May 2016, shortly after Weinberg's first lawsuit against the Debtor and Clemons the Debtor made transfers of approximately $100,000 in cash directly to the bank account of Clemons' daughter. (R. at 7). Weinberg voluntarily provided the Trustee with sufficient documentation and testimony to establish that the transfers were avoidable as fraudulent transfers. (R. at 7). The Trustee filed a complaint against Clemons' daughter to avoid and recover the transfers under 548 and 550. (R. at 7). The settlement was reached quickly and Clemons' daughter

agreed to pay $75,000 to the estate in stratification of all claims asserted in the proceeding. (R. at 7).

From the investigation of the transfers Weinberg incurred $25,000 in legal fees. (R. at 7). After the court approved the settlement Weinberg filed a motion seeking allowance of a substantial contribution administrative expense pursuant to section 503(b). (R. at 7). Although Weinberg was recognized as having made a substantial contribution to the estate the Trustee opposed the motion on the grounds of substantial contributions are not permissible in a chapter 7. (R. at 8). The Trustee argued section 503(b)(3)(D) expressly limited such expenses to chapters 9 and 11. (R. at 8). The bankruptcy court approved Weinberg's motion and granted him an allowed administrative expense of $25, 000, and the Trustee appealed. (R. at 8).

In September 2017 the Trustee received a offer from one of the competitor businesses Tenth Avenue to purchase a substantial amount of the Debtor's assets, including the snow plow trucks. (R. at 8). The Trustee attempted to negotiate with Weinberg to obtain the snow plow trucks but was unsuccessful. (R. at 8). Due to the failed negotiations the Trustee continued the appeal regarding the alleged violation of the automatic stay. (R. at 8). When the original offer one of the competitors was withdrawn, another competitor business Stone Pony approached the Trustee but offered $100,000 less for the Debtor's assets, excluding the snow plows. (R. at 8). The Trustee accepted the offer believing that the offers would only and lower and the court approved the sale to Stone Pony in February 2018. (R. at 9). The Trustee continued his appeals and wanted to recover from Weinberg ad damages the difference between the initial offer made by Tenth Avenue and the sale proceeds from Stone Pony. (R. at 9). The Trustee also continued with the substantial contribution appeal. (R. at 9). The appeals were consolidated before the bankruptcy appellate panel and the appellate panel affirmed both issues. (R. at 9). The Trustee timely appealed. (R. at 9).

SUMMARY OF THE ARGUMENT

The purpose of 11 U.S.C. §362 of the Code is provide a safety net by not allowing creditors from continuing, or beginning, an action against the estate of a debtor. §362(a)(3) states that an automatic stay occurs when "any act to obtain possession of property of the estate or of property from the estate or to exercise control over property of the estate" occurs. The crux of the statute's interpretation depends on the meaning of "any act" and "to exercise control." "Any act" refers to taking action, also known as affirmative acts. Affirmative acts, such as attempting to steal property off a land, would call for an automatic stay violation. Affirmative acts, however, are different than other passive acts. The continued retention of property that was already seized before a petition filing is be most similar to a passive act. Mr. Weinberg took control over the property in question, the trucks, before the prepetition and did so to protect his interests during the bankruptcy proceedings. Furthermore, under §542(a) of the code, Mr. Weinberg does not have to return the trucks until a turnover action is brought forward and Mr. Weinberg is confident that he is adequately protected. Pursuant to this section, a trustee may recover property of the debtor, but only when there is proof that adequate protection has been provided to the creditor. This section is not self-effectuating, therefore for it to apply, a turnover procedure must be commenced rather than a simply injunction requiring it. For a debtor to succeed on a turnover action, there must be proof of a stay violation under §362(a)(3). Since there is no proof of this violation, Mr. Weinberg's retention of the trucks he legally repossessed before the filling was valid.

In addition, Mr. Weinberg is also entitled to a substantial contribution administrative expense under §503(b) even though he case was a chapter 7 proceeding. The issue here is that the statutory language of §503(b) has no mention of chapter 7 proceedings. It states that administrative expenses may be claimed under circumstances "including … the actual, necessary expenses… of a creditor in a case under chapter 9 or 11 of this title." The majority view is that because the phrase

"chapter 7" was not included in this statute, then congress did not mean to include it and cases such as Mr. Weinberg's may not be considered. Other courts, including the Sixth Circuit, have now ruled in the opposite and held that "including" meant to provide for comprehensive examples, not an exhaustive and final list. Chapter 9 and 11 were specifically mentioned in the statute because these two type of cases more often deal with the issue of creditors stepping and making substantial contribution for the estates benefit, more often than chapter 7 cases. This is simply something that rarely arises in chapter 7 cases. Therefore, by specifically including two chapters, the statute attempted to ratify a known issue not prohibit a single type of bankruptcy case. To do so would go against Congress' demonstrated intent when enacting the statute and provide a disincentive for creditors to engage in chapter 7 proceedings. Since Mr. Weinberg meets all the requirements for reimbursement, notwithstanding the fact this is a chapter 7 proceeding, he is entitled to his administrative expense claim under the code.

ARGUMENT

I. A Secured Creditor Passively Retaining Property That was Lawfully Repossessed Prepetition is Not a Violation of §362(a)(3) and §542(a) is Not a Self-Effectuating Statute that Requires Immediate Turnover.

The creditor Mr. Weinberg did not violate the automatic stay by passively retaining the snow plow trucks. The purpose for Bankruptcy Code section 362(a)(3) is to protect debtors from post-petition attempts by creditors to collect not to destroy creditors right to protection before turning over the property. *In re Hall*, 502 B.R. 650, (Bankr. D.D.C. 2014). Absent a statutory definition, the statutory language's plain meaning must be applied. *Walters v. Metro. Educ. Enters., Inc.*, 519 U.S. 202, 207 (1997) When interpreting Bankruptcy Code section 362(a)(3) using the plain meaning Bankruptcy Code 362(a)(3) can only be violated when one does an affirmative act post-petition. *WD Equip., LLC v. Cowen (In re Cowen)*, 849 F.3d 943, 949 (10th Cir. 2017). Passively retaining property that was properly retained prepetition however, is not considered an affirmative act. *In re Hall*, 502 B.R. at 650.

In addition, Bankruptcy Code section 542(a) is not self- effectuating and therefore does not require immediate turnover of the estate's property. *In re Bernstein*, 252 B.R. 846, 852 (Bankr. D.D.C. 2000). Self-effectuating is defined as operation or process that happens automatically. Bankruptcy Code section 542(a) is subject to the explicit limitations of 363(e). *United States v. Whiting Pools*, Inc., 462 U.S. 198, 206 n.12 (1983). Bankruptcy Code section 363(e) requires for creditors to be provided with adequate protection in order and if not a court could prohibit or condition a turnover. 11 U.S.C. § 363(e). If adequate protection is not provided to a creditor they would not be liable for not returning property. *Denby-Peterson v. Nu2u Auto World*, No. 17-9985 (NLH), 2018 U.S. Dist. LEXIS 187686 (D.N.J. Nov. 1, 2018).

We respectfully ask this Court to affirm the Thirteenth Circuit judgment for two reasons. One, Mr. Weinberg did not violate Bankruptcy Code section 362(a)(3) because it requires one to

commit an affirmative act to obtain possession or exercise control. As noted, passive retention of the snow plows that were lawfully repossessed prepetition is not an affirmative act. Two, Bankruptcy Code section 542(a) is not self-effectuating and because the debtor must show proof of adequate protection before the turnover. The Debtor did not provide Mr. Weinberg that protection and thus has not satisfied the requirements for the turn over.

A. Weinberg did not Violate §362(a)(3) Because it Only Prohibits Post-Petition Affirmative Acts to Exercise Control over Property of an Estate.

Mr. Weinberg did not execute an affirmative act post-petition to obtain the trucks and thus did not violate §362(a)(3). This Court must affirm the Thirteenth's Circuit decision because the plain meaning interpretation of §362(a)(3) on only prohibits affirmative acts of taking action or doing something. Passively retaining property that was lawfully retained is considered taking action and is not a violation.

When interpreting a statute, the statutory language should be the initial departure in the inquiry. *Marx v. Gen. Revenue Corp.*, 568 U.S. 371, 388 (2013). If there is no statutory definition of the statutory language and the language is unambiguous the plain meaning of the text should be applied as long as its result is not demonstrably at odds with the intent of Congress. *Hartford Underwriters Ins. Co. v. Union Planters Bank, Nat'l Ass'n*, 530 U.S. 1, 6 (2000). §362 of the Bankruptcy Code provides a safeguard for debtors by preventing creditors from starting or continuing any action against the debtor of the debtor's property after the debtor files a petition with the bankruptcy court. 11 U.S.C. §362. This built in injunction is referred to as an automatic stay restricts certain activities including "any act to obtain possession of property of the estate or of property from the estate or to exercise control over property of the estate." 11 U.S.C. §362(a)(3).

Two key terms in §362(a)(3) are "any act" and "to exercise control." The term "any act" means "take action" or "do something." *New Oxford American Dictionary* 15 (3d. ed 2010);

Black's Law Dictionary 27 (9th ed. 2009). Applying the plain meaning of the term "act," the stay mentioned in §362(a)(3) applies only to affirmative acts of "doing something to obtain possession of or to exercise control over the estate's property." *In re Cowen*, 849 F.3d at 949. This section does not restrict "the act of passively holding onto an asset…" obtained pre-petition. *Id.*

The term "to exercise control" was added with the Bankruptcy Amendments and Federal Judgeship Act of 1984. *Id.* Some courts have broad sweeping interpretation that the addition as a means for Congress include conduct by creditors who seized an asset pre-petition, this is known as the majority approach. *See Thompson v. GMAC, LLC, 566 F.3d 699, 703 (7th Cir. 2009); In re Del Mission, 98 F.3d 1147, 1151 (9th Cir. 1996)*. However, the Tenth and D.C. Circuits provide a more concise and realistic interpretation that the amendment was in effort to include acts that exercise control property of the estate but do not obtain possession of the property. *Cowen*, 849 F.3d at 950. An example of this would be a creditor who improperly sells property that belongs to the estate. *Id.*

The automatic stay does not extend to an act of passively holding onto an asset. *Id.* at 949. The Tenth Circuit's case *In re Cowen* involved two creditors who repossessed two commercial trucks from the debtor before the debtor filed for bankruptcy. *Id.* at 944. The day of the debtor's final deadline to pay off one truck and ten days within his grace period to pay off his second truck the debtor filed for Chapter 13 bankruptcy. *Id.* at 946. He notified the creditors of the filing and requested that both trucks be returned immediately. *Id.* When the creditors refused to return the trucks the debtor moved the court to hold them in contempt for willful violation of the automatic stay. *Id.* The bankruptcy court applied the majority approach's interpretation and found that the creditors violated the automatic stay for failing to return the trucks. *Id.* at 948. The case was appealed, and the Tenth Circuit reversed the holding citing that using the plain language the statute

only applies to affirmative acts post-petition to gain possession or control of property of the estate. *Id.*

Continued retention of property seized prepetition is not considered an affirmative act. *In re Hall*, 502 B.R. at 650. In this matter the debtor owned a condo unit and the creditors were a properties company who managed the condo property and the property's homeowner association. *Id.* at 652. Prior to the commencement of the debtor's petition the creditors withheld the access code to the condo's storage space from the debtor who had property in storage. *Id.* After the debtor's petition was filed two requests were sent out to creditors demanding the access code. *Id.* Although the creditors gave the debtor the access code after receiving the second request from the debtor's lawyer the debtor argued that the delay violated the automatic stay of section 362(a)(3). The court held that there was no violation and would not have been even if the creditors did not provide the access code. *Id.* at 653. The court stated that passive retention is not considered an affirmative act and only affirmative acts are barred. *Id.*

Like in *In re Cowen* and *In re Hall*, Mr. Weinberg's passive retention of the snow plow trucks does not violate section 362(a)(3)'s automatic stay. Mr. Weinberg left the snow plow trucks in his warehouse and not moved them since the lawful repossession before the bankruptcy was filed. (R. at 6). No where in the record shows that Mr. Weinberg took action or did anything after the petition was filed. If Mr. Weinberg had attempted to take the trucks after the petition was filed them he would have been in violation, however that was not case.

Mr. Weinberg did not violate §362(a)(3) because only affirmative acts are barred. The dissenting Judge in the lower court uses the term "control" as a main piece of their analysis. (R. 23). However, there still must be an affirmative act to exercise that control post-petition. There

was no affirmative act only a passive retention of property that was lawfully repossessed prepetition.

B. Because §542(a) is not Self-Effectuating Weinberg is not Required to Return the Trucks Until a Turnover Action is Brought and Adequate Protection is Provided.

Under §542(a) of the Bankruptcy Code trustees may recover property that is property of the debtor but merely out of their possession. *United States v. Inslaw*, Inc., 932 F.2d 1467, 1471 (D.C. Cir. 1991). §542(a) states that unless the property is of "inconsequential value or benefit" an entity who is in "possession, custody, or control during the case, of property that the trustee may use, sell, or lease under section 363" must be delivered to the estate. 11 U.S.C. § 542(a). However, unlike section 362(a)(3) the turnover provision in §542(a) does not operate as a statutory injunction and thus is not self- effectuating. *In re Hall*, 502 B.R. at 658. The turnover provision in §542(a) provides a procedure for those who want to seek an order requiring rather than injunction compelling it. *In re Hall*, 502 B.R. at 654-59.

Since section 542(a) references that property should be usable under section 363 it is also subject to the "explicit limitation" of section 363(e). *Whiting Pools*, Inc., 462 U.S. at 206 n.12. Section 363(e) requires bankruptcy courts to prohibit or condition" a turnover for use "as is necessary to provide adequate protection" for the creditors interest in the property. 11 U.S.C. § 363(e). §542(a) cannot be self-effectuating when the turnover depends on whether or not adequate protection has been provided.

Adequate protection is essential because bankruptcy still operates to ensure debtors pay off their debts. *Denby-Peterson v. Nu2u Auto World*, No. 17-9985 (NLH), 2018 U.S. Dist. LEXIS 187686 (D.N.J. Nov. 1, 2018). When a debtor is seeking a turnover proof of protection is needed to show a stay violation under section 362(a)(3). *Id.* at *15. The debtor in this case did not pay her

deferred down payment and began missing her scheduled monthly payments. *Id.* at *2. The creditor's car lot that she purchased the vehicle from repossessed the vehicle due to the missed payments. *Id.* After the repossession the debtor filed for bankruptcy and notified the car lot demanding the vehicle back. *Id.* The car lot did not return the vehicle and the debtor filed a turnover motion which included a request for sanctions alleging the car lot violated the automatic stay. *Id.* at *3. The car lot resisted the motion asserting that although *Denby-Peterson* had purchased the vehicle she had surrendered all rights in the vehicle when she signed a document allegedly waiving her right to redeem the vehicle. *Id.* The creditor alleged this document was signed when *Denby-Peterson* visited the creditor's car lot to retrieve her personal property from the vehicle after repossession. *Id.* Additionally, the creditor filed a proof of claim, asserting a security interest in the Vehicle. *Id.* The court ultimately held that the creditor did not violate the stay when the debtor does not provide an insurance policy showing the creditor as the loss payee as the creditor requested. *Id.* at *15.

The statutory construction principle that applies the same meaning to the same word of sister provisions of the same statute prevents "shall" from meaning self-effectuating. *In re Hall*, 502 B.R. at 658. Looking to section 542(a)'s sister provision section 542(b) the text states " entity that owes a debt that is property of the estate and that is matured, payable on demand, or payable on order, shall pay such debt to, or on the order of, the trustee, except to the extent that such debt may be offset…" 11 U.S.C. § 542(b). Although the term "shall" is used in the text it is not interpreted to mean contempt if the obligor fails to pay but rather an acknowledgment that the trustee, not the debtor is entitled to receive payment. *Id.* at 658 (citing *In re Bernstein*, 252 B.R. at 852. Section 542(a) like section 542(b) as sister provisions should also not mean self-effectuating.

In the present case the Debtor did not provide the Creditor Mr. Weinberg with any proof of adequate protection.[1] However, Mr. Weinberg did provide testimony that he wanted some sort of adequate protection before releasing the snow plow trucks to the Debtor. (R. 6). Like in *Denby-Peterson* the Creditor Mr. Weinberg is entitled to proof of adequate protection. Without such proof there can be no violation of section 362(a)(3). Due to the Debtor's failure to provide the Creditor Mr. Weinberg with proof of protection of his security interest we respectfully ask this Court to affirm the Thirteenth Circuit's judgment.

C. Requiring Weinberg to Turnover the Snow Plow Trucks Before Seeking Adequate Protection Will Cause Irreparable Harm.

This court must affirm the Thirteenth Circuit's judgment because it would be inequitable to secured creditors to require them to turn over repossessed property without protection. Creditors would be left with no protections for their interests in property of the Debtors then it would cause irreparable harm and stifle the economy has it relates to creditors' willingness to lend.

A creditor who is required to turn over an asset before seeking adequate protection might be irreparably harmed and lose the protection section 363(e) intended to provide. *In re Hall*, 502 B.R. at 660. The right to adequate protection cannot be destroyed by treating § 542(a) as self-effectuating and as compelling turnover before the creditor can obtain an order providing such adequate protection. *Id.* As noted in *Citizens Bank of Md. v. Strumpf* "[i]t is an elementary rule of construction that 'the act cannot be held to destroy itself." 516 U.S. 16, 20 (1995). There is a danger in requiring an immediate turnover because "right of adequate protection cannot be rendered meaningless by an interpretation of §§ 362(a)(3) and 542(a) that would compel turnover even before an opportunity for the court's granting adequate protection." *In re Bernstein*, 252 B.R. at

[1] There is no statement in the record that shows proof of adequate protection for the repossessed snow plows.

851. Acknowledging the true threat, the court notes that the provisions no more operate to destroy the right to insist on adequate protection as a condition to turnover than did § 362(a)(3) destroy the right of setoff in the *Citizens Bank of Md. v. Strumpf* case. *Id.*

Putting a secured creditor in a position to be unfairly harmed because they cannot not protect their assets is inequitable. It is not only inequitable but can deter future secured creditors to lending because of the fear on losing out on an investment or interest. If secured creditors stop lending, then the economy becomes negatively effected by the stand still. In this matter Mr. Weinberg has the right to have his interested protected in the snow plow trucks before they are returned. Anything could happen to the snow plows once out his possession and if they are destroyed and he has no insurance policy or other form of protection set up to get his money he invested back then he would be irreparably and unfairly harmed.

The plain meaning of the term "act" in §362(a)(3) prohibits affirmative acts to obtain possession or exercise control. Passively retaining snow plow trucks that were lawfully seized does not constitute a violation in the way the automatic stay is meant to interpreted because there is no affirmative act. In addition, the turnover provision of §542(a) is not self-effectuating because it has expressed limitations of providing adequate protection and if it was the intent of Congress to make this statute self-effectuating it would have done it by amending the section not §362(a)(3). Reading these sections broadly and as self-effectuating causes irreparable harm to the secured creditors that are providing investments. The inequitable harm would not only hurt the secured creditors but the economy if creditors decide not to risk losing all of their invested interest if they cannot be provided protection. For these reasons we respectfully ask this Court to affirm the Thirteenth Circuit's judgment.

II. The Bankruptcy Code Section 503(b)(3)(D) is Not A Per Se Bar to Reimbursement of the Administrative Expenses under 503(b) in a Chapter 7 Proceeding, therefore Weinberg is entitled to a substantial contribution administrative expense under the statute.

According to the statutory language of §503(b)(3)(D) and the supporting case law available, this statutory is a flexible statute that is meant to be interpreted with its plain meaning and congressional intent in mind. Here, the petitioner requested a reimbursement in the amount for $25,000 for legal fees regarding the investigation of the Debtor's transfer to his daughter, Patti. The basic legal question before us is whether the statutory construction of §503(b)(3)(D) is a per-se bar to the reimbursement of an instant administrative expense under §503(b) in a chapter 7 proceeding, where the expense would otherwise be allowed? It is well known that priority claims under the Bankruptcy Code must be construed strictly; therefore, the burden of proof is on the party who is seeking the claim by preponderance of the evidence. *In re Mid Region Petroleum*, 1 F.3d 1130, 1130 (10th Cir. 1993).

§503(b) provides a list of specific categories of expenses that are considered administrative expenses. Administrative expenses are not defined in the Bankruptcy Code but courts agree that administrative expenses have two characteristics which distinguishes them from other expenses. (1) The expense and right to reimbursement arises after the bankruptcy filing, and (2) the consideration to the right to payment provides benefit to the estate. *In re Hackney*, 351 B.R. 179, 185 (Bankr. N.D. Ala. 2006). Under §503, fees are subject to a reasonableness standard. And the specific statute at issue here is §503(b)(3)(D). This section permits administrative expenses for "the actual, necessary expenses … incurred by … a creditor … in making a substantial contribution in case under chapter 9 or 11 od this title." §503(b)(3)(D). The statute does not state whether chapter 7 participants may or may not request reimbursement for administrative expenses.

A majority of courts have held that by including the phrase "in a case under chapter 9 or 11," the section excludes consideration of chapter 7 cases. *Mosier v. Kuptez (In re United Educ. & Software)*, 2005 WL 6960237, at *5 (B.A.P. 9th Cir. Oct. 7, 2005). But many courts across the country are reaching the opposite conclusion and adapting a broader consensus about §503(b). These courts believe that the categories listed in this portion of the statute are not exhaustive. *See, e.g. In re Al Copeland Enters.,* 991 F.2d 233, 239 (5th Cir. 1993); *United States v. Ledlin (In re Mark Anthony Constr., Inc.)*, 886 F.2d 1101, 1106 (9th Cir. 1989); *Pergament v. Maghazeh Family Trust (In re Maghazeh),* 315 B.R. 650, 654 (Bankr. E.D.N.Y. 2004).

To determine which side of the issue to stand on, courts rely greatly on the canons of statutory interpretation. Legal interpretation requires what is known as "traditional tools of statutory construction. *Arangure v. Whitaker*, 911 F.3d 333, 338-39 (6th Cir. 2018). Canons are background principles that guide the statutory interpretation of courts, referred to as "interpretive rules of the road." *Id.* at 339 (citing Brett M. Kavanaugh, *Fixing Statutory Interpretation*, 129 Harv. L. Rev. 2118, 2144 (2016). Canons are useful tools in assessing statutory meaning, they require a certain level of analysis by the courts, and help protect fundamental constitutional or historical values. *Id*. at 343. The goal of linguistic canons is to find the ordinary meaning of the statutory text.

Utilizing the statutory canons available, this Court should affirm the decision of the Thirteenth Circuit and the lower courts and find that Mr. Weinberg is entitled to a substantial contribution administrative expense under §503(b), notwithstanding §503(b)(3)(D). Mr. Weinberg is entitled to this expense because (1) the Sixth Circuit's decision which ruled in favor of creditors like Mr. Weinberg should be followed, (2) there are numerous canons of statutory interpretation to support this reading of the statute, and (3) because Congress intended for this statute to provide

flexibility for the courts to decide when administrative expenses are proper in a bankruptcy proceeding.

A. The Sixth Circuit's Decision in *Connolly* is Correct Because it is More Consistent with the Intent of the Statute and Role of Courts when Ruling on Administrative Expenses.

In the Sixth Circuit Decision, the court found that in a substantial contribution administrative expense award in a chapter 7 case is proper. This interpretation is correct because it is consistent with the intent to provide a statute that guides but also encourages flexibility for the fact finder. The reasons why the Sixth Circuit ruled in favor of the statute language and principles of equity allowing for administrative expenses in chapter 7 cases, is directly applicable to Mr. Weinberg's case. Therefore, this court should rule in favor of Mr. Weinberg and affirm judgment.

In this case, the debtor, Connolly North America, LLC ("Connolly"), received a motion from one of its unsecured creditors, Coface Argentina ("Coface"), requesting that the current trustee be removed from the case. *Mediofactoring v. McDermott (In re Connolly N. Am., LLC)*, 802 F.3d 810, 810 (6th Cir. 2015). After Coface succeeded on the motion, it requested a reimbursement of $164,336.28 in attorney fees and costs under an "administrative expense" under §503(b). *Id*. at 815. The bankruptcy court recognized that the work Coface paid for "substantially benefited the bankruptcy estate and the unsecured creditors, and contributed greatly to there being a significant increase [in] the amount of funds that the unsecured creditors w[ould] receive." *Id*. at 4; *In re Connolly N. Am.,* 376 B.R. 161, 164 (Bankr. E.D. Mich. 2007). The court, however, denied Coface's request. On appeal, the district court agreed with the bankruptcy court.

The essential question of the case was whether the portion of the statute stating, "substantial contribution in a case under chapter 9 and 11" negated the meaning of "including" in the introductory provision of the statute. *Id.* at 815-16. The court found that the act did not exclude

Chapter 7 cases. Instead, the Act was meant to provide guidance to bankruptcy courts and the freedom to decide on a case by case analysis when administrative expenses were appropriate. *Id*. at 816-17. The fact that Congress did not "expressly designate" this expense as allowable under the statute did not mean it is necessarily excluded. *Id.* Instead, according to the court, by choosing the term "including" in the beginning of the subsection, Congress intentionally "built a mechanism into §503(b) for bankruptcy courts to reimburse expenses not specifically mentioned in §503(b)'s subsections." Congress anticipated that bankruptcy courts would face a variety of administrative expenses and circumstances that may call for reimbursement. *Id.* at 816.

Despite the majority's acceptance of the "well-established canon … of statutory construction that the specific governs the general," the court found this argument to be unpersuasive. *Id.* at 818. (citing *RadLAX Gateway Hotel, LLC v. Amalgamated Bank*, 132 S. Ct. 2065, 2070-71, 182 L. Ed. 2d 967 (2012)). The court reasoned that their interpretation of §503(b)(3)(D) did not ignore the inclusion of Chapter 9 and 11; but instead, this interpretation reflected a more comprehensive understanding and implications of the general/specific canon. *Id.* at 818. Cases, such as *RadLAX* which has found for the opposite, evaluated statutes like did not contain the word "including." Congress was capable of entirely excluding administrative expenses in Chapter 7 cases. *United States v. Fuller*, 86 F.3d 105, 106 (7th Cir. 1996). However, it chose not to and that cannot be forgotten. According to the court, chapter 7 was excluded because the watch-dog role of the trustees in those proceedings. *Connolly*, 802 F.3d at 816-17. Neither Congress nor case law supports this ultimate denial of creditor rights, therefore, Chapter 7 cases should be included.

Based on the analysis provided by the Sixth Circuit, Mr. Weinberg is entitled to his reimbursement under §503(b)(3)(D). It is unfair and unpractical to assume that the statute is meant

to deny creditor rights completely in situations such as this. As the Thirteenth Circuit mentioned, *Connolly*'s is more consistent with both the plain meaning and structure of the statute, and therefore should be followed. (R. at 18). Like the creditor in *Connolly*, Mr. Weinberg paid for work to be done that significantly benefitted the estate and the unsecured creditors. Therefore, it is undisputed the Mr. Weinberg made a substantial contribution to the estate. (R. at 17). The word "including" meant to provide guidance on how courts show act moving forward in administrative expenses cases. The use of "including" suggests that the listed categories in the statute is not exhaustive, but instead flexible and adaptable. By using the verb "include" Congress meant to introduce examples, not an exhaustive. Therefore chapter 9 or 11 proceedings are a part of the list but not necessarily the entire list.

And as stated in *Connolly*, the general over specific canon is not persuasive here. This canon states that a specific provision should prevail over a general one if the two are in conflict. To begin, the two provisions (chapter 9/11 & chapter 7) are not in conflict. The statute does not state that administrative expenses will be awarded *only* to chapter 9 or 11 cases. It simply states, "… in a case under chapter 9 or 11 of this title." This provision is not in conflict with a more general reading of the statute that would permit chapter 7 cases as well. All three types of cases could be considered without causing negative implications or a conflict. Therefore, this canon is not at issue.

The comprehensive and flexible understanding of the statute that *Connolly* provides is appropriate and should be followed. And since Mr. Weinberg's case is almost identical factual to *Connolly*, this case should follow the decision of the Sixth Circuit and affirm judgment.

B. The Canons of Statutory Interpretation Support the Notion that Chapter 7 Proceedings apply to §503(b)(3)(D).

The canons of statutory interpretation have a tremendous practice effect on legal interpretation. It is, of course, not always possible to know exactly what Congress meant when it enacted the specific language of a statute. Therefore, over time, statutory canons have been relied on to decipher what a statute really means.

There are many canons to consider, some that have already been mentioned and others that are worth noting. Each of which support Mr. Weinberg's argument and the decision of the lower courts that chapter 7 proceedings apply to §503(b)(3)(D). Some canons that have already been mentioned include: the *expressio unius est exclusio alterius* canon, the general/specific canon, and the presumption of nonexclusive "include" canon. The whole text canon and the surplusage canon are also prevalent to Mr. Weinberg's case [2]

Two of the most relied upon canons of statutory interpretation in the question of administrative expenses in chapter 7 cases is the *expressio unius* canon and presumption of nonexclusive "include" canon. The majority view is that Congress chose to include the words "chapter 9 or 11" but not the words "chapter 7," because they chose to exclude those proceedings, despite the "including" language. On the other hand, in addition to the Sixth Circuit's opinion, many courts have argued in the opposite. In *In re Maust Transp. Inc.,* the court agreed with the Sixth Circuit and found that a claim for administrative expenses in a chapter 7 filing was appropriate. 589 B.R. 887, 887 (Bankr. W.D. Wash. 2018). Here, the petitioning creditor was J.D. Logistics Inc. ("JDL"). JDL filed an application seeking an administrative expense claim under §503(b) in the amount of 111,857.50 after the chapter 7 petition was granted. JDL requested $79,261.01 pursuant to §503(b)(3)(D) for the costs incurred when the company investigated a

[2] Antonin Scalia & Bryan A. Garner, *Reading Law: The Interpretation of Legal Texts* 1ed. (2012).

fraudulent transfer claim that resulted in recovery for the estate. *Id.* 892. Relying on the analysis in *Connolly*, the court agreed that Congress selected the term "including" in the introductory paragraph because it wanted to give the bankruptcy courts flexibility when feeling with specific factual situations. *Id.* 893. Therefore, the "presumption of nonexclusive 'include' canon" worked against those challenging §503(b)(3)(D) in chapter 7 cases. The court reasoned, based on the amendments added to §503(b), that the canon *expressio unius* are "misguided and unnecessary" when a statute is clear and unambiguous. *Id.*

The opinion cited a Ninth Circuit Court of Appeals decision where the court denied of the use of *expressio unius* when determining if a tax administrative claim was appropriate under §503(b)(1)(B) and (C). *Id.* at 898; *Mosier v. Kupetz (In re United Educ. & Software*, 2005 Bankr. LEXIS 3408, 2005 WL 6960237 1 (B.A.P. 9th Cir. Oct. 7, 2005). Though the Ninth Circuit did not rule specifically on the Chapter 7 issue, the court did state, "[e]specially in light of this unambiguous general directive, we conclude that the administrative expense statute's use of 'including' renders the *expressio unius* rule inapplicable to section 503." *see Maust*, 589 B.R. at 898. According to the court, the Ninth Circuit's opinion in conjunction with the fact that the Code does not specifically exclude administrative claims in chapter 7 illustrates that such claims are appropriate for reimbursement to JDL. *Id.* §503(b)(3)(D)'s purpose is to encourage creditors to contribute substantially to the estate by pursuing funds that will be available for distribution to claimants. *Id.* at 898. Since JDL demonstrated that it made a "substantial contribution" to the estate for the purposes of §503(b)(3)(D), the court concluded that the administrative expense claim was proper the statute. *Id.* at 899.

Comparing the ruling in *Maust* with the case at hand, this court should find that the canon on the word "include" and *expressio unius* canon do not disprove that the statutory interpretation

of §503(b)(3)(D) includes chapter 7 proceedings. The arguments brought forward by the *Maust* mirror those in *Connolly* and are appropriate when the canons are applied to the statute. In addition, if we were to consider the statute in its entirety, as suggested by the whole text canon, then it becomes clear that the Sixth and Thirteenth Circuit's interpretation is correct. Nowhere in the statute is a bankruptcy court expressly precluded from using its discretion to award a substantial contribution administrative expense in chapter 7 cases. On the other hand, the phrase "under Chapter 9 or 11 of this title" was used specifically to combat issues that arise under chapter 9 or 11 cases only. Congress expressly mentions the phrase "substantial contribution" in the context of creditors because in both cases, the creditor would spend its own time and resources to benefit the estate. However, this it not always typical in Chapter 7 cases. This does not mean its absolute, but instead goes to Congress' intent to make the statute flexible enough to address various types of cases. The surplusage canon also urges us to ensure that no word and provision should be ignored. Statutes should be construed to give effect to all its provisions. That way no part of the statute would be inoperative or superfluous, void or insignificant. *Hibbs v. Winn*, 542 U.S. 88, 101 (2004). Relating this back to the word "including" in the beginning of the section, Congress purposely choose that word. The meaning of "including," which is to introduce examples, should not be ignored.

When considering all the canons mentioned in the cited cases, and those brought to light through this analysis, it is clear that the Thirteenth Circuit's interpretation of §503(b)(3)(D) is proper. Since the interpretation is supported by valid canons that are meant to assist in the interpretation of the statute, Mr. Weinberg should be entitled to administrative expenses.

C. The Plain Meaning and Congressional Intent Behind the Statute Proves that Administrative Expenses are Appropriate Reimbursement Claims in a Chapter 7 Proceeding.

An argument for the opposite view rests on the notion that §503(b) should be construed strictly to obtain the goal of keeping administrative expenses at a minimum to preserve the estate for the benefit of all creditors. *See Suplee v. Bethlehem Steel Corp. (In re Bethlehem Steel Corp.)*, 479 F.3d 167, 172 (2d Cir. 2007). To allow for administrative expenses under a chapter 7 would not take away from the goal. After determining that administrative expenses are allowed under chapter 7 cases, courts would still have to determine whether such an expense is appropriate in the specific case at hand. Courts can analyze and critique cases and reimbursement with this goal in mind even if the cases are under Chapter 7. While more administrative expenses may be allowed as a result, the estate would still be preserved for the benefit of the creditors. In this case, Weinberg is a deserving creditor and as such, a reimbursement for expenses is reasonable.

It is Congress' job to add restrictions to §503(b), not the courts. Congress choose the word "including" in the first sentence of the statute because it intended to allow for certain expenditures to qualify as administrative expenses in the cases where the expenditures would not otherwise qualify under subsection (b). *In re Hackney*, 351 B.R. 179, 183 (Bank Ct. Northern D of Alabama, Southern Division 2006). It was not Congress' intention for section b's specific categories of administrative expenses to be exhaustive. *Id.* The right to a claimant for an administrative expense is derived from the broad interpretation of the use of "including." *Id.*

The canon *expressio unius* typically does not apply "unless it is fair to suppose that Congress considered the unnamed possibility and meant to say no to it." *See Barnhart v. Peabody Coal Co.*, 537 U.S. 149,168 (2003). But the canon can be overcome by "contrary indications that adopting a particular rule or statute was probably not meant to signal any exclusion." *United States v. Vonn*, 535 U.S. 55, 65 (2002). To deny Chapter 7 creditors reimbursement of these types of expenses would disincentive participation in bankruptcy process and go against fundamental

notion of bankruptcy as equitable relief. *Connolly*, 802 F.3d at 819. This interpretation is consistent with the policies of the bankruptcy code to encourage creditor participation in all bankruptcy cases, including chapter 7. There is proof that Mr. Weinberg has made substantial contributions on the estate, therefore in any other proceedings he would be undoubtedly eligible for reimbursements. Simply because he chose to file Chapter 7 instead, does not mean that he should be prohibited from a valid reimbursement.

Bankruptcy courts are courts equity and their proceedings are meant to be proceedings based in equity. *Local Loan Co. v. Hunt*, 292 U.S. 234, 240 (1934). As the statute stands, courts can evaluate on a case-by-case basis in relations to the specific facts of the case, the benefit to the bankruptcy estate and its creditors, and whether the expenses at issue were actual, necessary, and reasonable. *Connolly*, 802 F.3d at 816. Courts should have the ability to provide a remedy for creditors rather than hindering actions that are the benefit of the estate. *Maust*, 589 B.R. at 899. Courts should have the ability to provide a remedy for creditors rather than hindering actions that are the benefit of the estate. *Id.*

Therefore, because the statute does not expressly prohibit administrative expenses in chapter 7 proceedings, and because there is a concrete support of this interpretation, Weinberg has a right to the reimbursement requested.

CONCLUSION

We respectfully ask this Court to affirm the Thirteenth Circuit's ruling that Weinberg did not violate Bankruptcy Code section 362(a)(3) and substantial contribution administrative expenses are permitted under Chapter 7. In section 362(a)(3) the term "act" refers to someone taking action or doing something. Mr. Weinberg's passive retention of lawfully obtained property does not classify as a violation of the automatic stay statute. Mr. Weinberg is also not required to

turnover any property of the estate without the Debtor providing adequate protection. The turnover provision in section 542(a)(3) is not a statutory injunction but rather a statute that explains a procedure. Section 363(e) was created to provide protections to creditors and Mr. Weinberg is not in the wrong for utilizing it.

The term "including" is meant to provide for comprehensive examples, not an exhaustive and final list. Chapter 7 cases simply do not have as many instances as Chapters 9 and 11 that deal with creditors stepping in and making substantial contributions for the estates benefit. Therefore, by specifically including two chapters, the statute attempted to ratify a known issue not prohibit a single type of bankruptcy case. To do so would go against Congress' demonstrated intent when enacting the statute and provide a disincentive for creditors to engage in chapter 7 proceedings. Since Mr. Weinberg meets all the requirements for reimbursement, notwithstanding the fact this is a chapter 7 proceeding, he is entitled to his administrative expense claim under the code.

Team R. 36
Counsel of Record